PRESS RELEASE

Dermatology Providers Agree to Pay Nearly $850,000 to Resolve Allegations of False Wound Repair Claims

Wednesday, July 30, 2025

For Immediate Release

Office of Public Affairs

Forefront Dermatology S.C. and Henghold Surgery Center LLC, have agreed to pay $847,394 to resolve allegations that they violated the False Claims Act by knowingly causing the submission of falsely coded claims to Medicare for wound repair procedures.

Forefront owns and operates a dermatology practice in Florida doing business as Henghold Dermatology. Henghold Surgery Center is an ambulatory surgery center that closed in 2023, and is wholly owned by William B. Henghold, M.D. Both the practice and surgery center performed wound repair procedures following Mohs micrographic surgery, a method of skin cancer removal.

The United States alleged that Henghold Dermatology and Henghold Surgery Center caused the submission of false claims to Medicare by using inaccurate wound repair billing codes for which Medicare paid more money than it would have paid for the wound repairs that were actually performed — a practice known as "upcoding." Specifically, Henghold Dermatology and Henghold Surgery Center falsely coded linear repairs as if they were flap repairs and falsely coded smaller flap repairs as if they were larger flap repairs.

"Improperly billing Medicare depletes valuable government resources that provide necessary medical care to millions of Americans," said Assistant Attorney General Brett A. Shumate of the Justice Department's Civil Division. "We will hold accountable health care providers who enrich themselves by defrauding federal health care programs."

"This office will continue to aggressively root out fraud, waste, and abuse in our healthcare system by pursuing providers who submit false claims to Medicare," said U.S. Attorney John P. Heekin for the Northern District of Florida. "We will hold those who attempt to defraud the federal government accountable to the fullest extent of the law."

“Schemes that cause Medicare to pay for costlier services than were actually performed waste taxpayer funding, threatening the integrity of this federal health care program,” said Deputy Inspector General for Investigations Christian J. Schrank of the U.S. Health and Human Services Office of Inspector General (HHS-OIG). “Working together with our law enforcement partners, HHS-OIG will continue to investigate allegations of improper billing schemes to protect taxpayer-funded health care programs and the people served by them.”

The civil settlement includes the resolution of claims brought under the *qui tam* or whistleblower provisions of the False Claims Act by Christopher Wolfe, M.D., a former Forefront employee. Under those provisions, a private party can file an action on behalf of the United States and receive a portion of any recovery. The *qui tam* case is captioned *U.S. ex rel. Wolfe v. Henghold et al.*, No. 3:23-cv-21624 (N.D. Fla.). Dr. Wolfe will receive $152,531 in connection with the settlement.

The resolution obtained in this matter was the result of a coordinated effort between the Justice Department’s Civil Division, Commercial Litigation Branch, Fraud Section, and the U.S. Attorney’s Office for the Northern District of Florida, with assistance from HHS-OIG.

The investigation and resolution of this matter illustrates the government’s emphasis on combating healthcare fraud. One of the most powerful tools in this effort is the False Claims Act. Tips and complaints from all sources about potential fraud, waste, abuse, and mismanagement, can be reported to the Department of Health and Human Services at 800-HHS-TIPS (800-447-8477).

The matter was investigated by Trial Attorney Colin Shannon and Assistant U.S. Attorneys John Spaccarotella, Mary Ann Couch, and Marie Moyle for the Northern District of Florida.

The claims resolved by the settlement are allegations only and there has been no determination of liability.

Updated August 8, 2025

Topic

FALSE CLAIMS ACT

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Civil Division | USAO - Florida, Northern

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